

The impact of influencer marketing on consumer purchasing behavior

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- **Literature Review:** Zhichao Yao
- **Research Methodology:** Alina Liu
- **Data Analysis and Findings:** Joshua
- **General Discussions:** Alina Liu
 - **Limitations:** Zhichao Yao
 - **Recommendations and Future Research:** Joshua
 - **Concluding Paragraph:** Alex
- **References:** Alex

Title

The impact of influencer marketing on consumer purchasing behavior

Abstract

This study investigates the effectiveness of influencer marketing on consumers, and to see if it truly does impact the decisions consumers make when purchasing a product or service. As a group, we decided to pursue this topic because it is relevant to our interests in marketing and our long term career aspirations. We believe this is an important question to ask since influencer marketing is so widespread across the internet and is now one of the main channels for content distribution. Additionally, many people in our generation want to become influencers themselves and expect to make money from it, which would not matter if influencer marketing deems to be ineffective. Our selected research question would ask how influencer marketing affects consumer purchasing behavior and would test different variables such as platform, type of influencer, type of content, and the audience demographic. These variables are important because they can drastically change the results of our research study. We would use the orientation research approach and use the platform Qualtrics to make the survey, and distribute it to others in order to gather relevant insight on the topic.

Introduction

The increasing popularity of social media influencers in recent years has prompted this investigation into the factors shaping consumers' purchase behavior. This research paper aims to shed light on the various impacts of influencer marketing in today's society. A social media influencer can be defined as an individual who has established credibility in a specific industry and has a large following on social media platforms such as TikTok, Instagram, and YouTube. There are different sizes of influencers, ranging from nano influencers to mega influencers. Content creators with a smaller following base might offer more engagement and target a niche market or community, while larger creators have a broader viewer base with less engagement. The role that influencers play in the consumers and retail space is to discuss a product or service they enjoy using or have key insights into. In general, there are 2 types of user-generated content, organic and sponsored. Organic social media content is content that's created without paid promotion or advertising, while sponsored content is still generated by the influencer, but their work is being paid by an advertiser. From an audience's perspective, we typically see a mixture of both styles of content on our social media feed, as organic content offers more authenticity and credibility because it's uninfluenced, while sponsored content could be more well put together given the extra resources influencers are provided with. From a creator's perspective, smaller influencers can profit from freely creating content that they feel passionate about, and bigger influencers can be limited to certain topics or styles of content while getting paid more by the sponsor or company.

According to research conducted by Matter Communications Agency, 69% of consumers trust influencer recommendations and are more likely to purchase a product after viewing influencer-generated content. (Deyo, 2023) According to another source, Gen Z consumers have more trust in influencer recommendations than celebrities. In fact, 45% of Gen Zers in Europe would rather purchase fashion products worn by influencers than from more established celebrities or their peers. (Digital Marketing Institute, 2024) As a team, we find these statistics a bit hard to believe, despite understanding the power of social media in the modern world. To further investigate this topic, we decided to survey college

students on the San Jose State University campus to answer the question: “How does influencer-generated content affect consumer purchasing behavior?” Our team created 3 hypotheses claims that we hope to testify through data collection: Influencer marketing will have a stronger influence on purchasing behavior among younger demographics compared to older demographics, consumers exposed to influencer marketing campaigns will show a higher likelihood of purchasing the promoted products compared to those not exposed, and consumers exposed to influencer marketing across multiple channels will exhibit a higher likelihood of making a purchase compared to those exposed to a single channel. Beyond the completion of this project, we hope to utilize the findings of this study to gain a better understanding of the trending marketing and media distribution channel, as well as reflect on our own purchasing behavior and decision-making abilities.

Literature Review

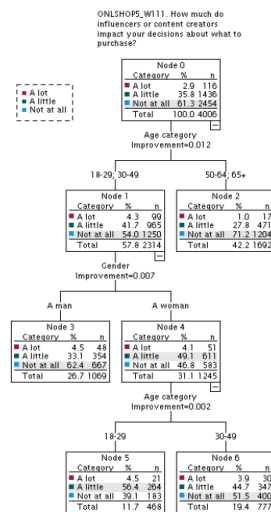
As a market worth more than \$15 billion, influencer marketing influences people's purchasing behavior and gradually replaces traditional marketing habits such as TV and paper advertising. Based on the expansion and development of social media, the influence of celebrities and Internet celebrities has gradually entered consumers' daily lives and can subtly influence consumers' purchasing behavior. Due to the establishment of influencer-follower networks, influencers with positive influence can give followers more than ordinary trust in the brand. This research uses this phenomenon to analyze and study the three salient features of influence marketing.

The influencer market strongly impacted the younger generation's purchase behavior.

The mobile network and smartphone markets play a crucial role in the development of social media, and these high technologies have gradually developed in the past 15 years. Influence marketing relies heavily on the Internet celebrity effect and celebrity effect, and the older generation's Insensitivity to the influencer economy causes the older generation to receive less influence from influence marketing

than the younger generation. The younger generation has grown up with social media and smartphones, making it easier for the younger generation to accept and be influenced by influencers and change their purchasing behavior. “more youngest participants”, 18-29 (Node 5), purchase decisions are impacted by influencers than those in the 30-49 age group. Prediction accuracy rate for this model is 63.3%” (Ming-Yi, p10, 2024).

As Shown in Figure 5



Note. Adapted from *Consumer Behavior Review*, By Ming-Yi, 2024, p 10. Copyright 2024 by Social Media Influencers.

Prior research on the impact of different ages on consumer behavior in influencer marketing, Ming-Yi's research involves more than 3,600 participants. In the 18-29 age range, 63.3% of participants said they had changed their purchasing decisions because of influencers. In the 30-49 age range, the percentage dropped to 48.5%. These data show that the rate of changes in purchasing behavior due to influencers decreases while age increases.

Therefore, based on the period literature, we argue that hypothesis one: Influencer marketing will have a stronger influence on purchasing behavior among younger demographics compared to older demographics.

Exposed to influencer marketing shows a higher likelihood of purchase behavior.

In today's era of rapid information development, people are increasingly exposed to different marketing advertisements, among which influencer marketing is very special and popular. In influencer marketing, the role of the influencer occupies a huge proportion. Consumers who are influenced by influencers are more likely to trust the brands they recommend. Trust in a brand is an important factor for consumers when choosing products and can change consumer behavior. “The results in Table 3 confirmed the full mediating effect of perceived influencer efficacy on the relationship between the strength of the perceived relationship and perceived brand authenticity” (Hugh, p8, 2022). In Hugh's research, it can be concluded that influencer marketing can significantly change consumers' perceptions of brands, which is positively related to the influencer's positive image. Simply put, the more famous and positive influencers recommend the products and brand, the easier it is for them to gain consumers' trust and change their behavior. For example, when consumers do not intend to consume, celebrity promotions may change their minds and make their purchases. Consumers' choice of brands is also very susceptible to changes from influencer marketing. These influences were summarized in Dominyka's research into why influencer marketing will greatly change consumers: Usefulness, trustworthiness, attractiveness, experience, and congruence. Prior research on exposure to influencer marketing on purchasing behavior supported that exposure to influencer marketing can significantly change consumers' purchasing behavior. Moreover, in Dominyka's research showed results of the major components that could impact purchasing behavior. However, we found a gap that these two researchers used female consumers as participants. Although men have also changed their purchasing behavior when exposed to influencer marketing, the results are less significant in the male consumer area.

Therefore, based on the period literature, we argue that hypothesis two: Consumers exposed to influencer marketing campaigns will show a higher likelihood of purchasing the promoted products compared to those not exposed.

Multiple influencer marketing may have positively impacted purchase behavior.

Due to the development of social networks, it is becoming easier for consumers to learn the opinions of celebrities, Internet celebrities, or experts. The intersection of different social networks also increases the possibility of consumers being exposed to influencer marketing. Consumers can see celebrity reviews of products on YouTube, they can also see certain stars' recommendations for clothing, cosmetics, and luxury goods on Instagram, or they can see more different promotions or recommendations on Titok. However, most brands do not choose just one celebrity to recommend their brand or product in influencer marketing. So, being exposed to most influencers is the norm for most consumers. The changes in consumer behavior caused by consumers' exposure to multiple influencer marketing are necessary studies for this research. “the results suggest that consumers will change their attitudes toward endorsed products from negative to positive as the level of repetition of endorsement content exposure increases” (Ruibin, p10, 2023). Rublic's research shows that the more influencer marketings are exposed to consumers, the more interest and trust consumers will have in brands and products. However, Rublic also pointed out many times the drawback of influencer marketing, which is wear-out effects. “the multiple exposure effect of influencer-promoted ads on consumers’ click decisions is U-shaped. This finding is contradictory to the wear-out effect of advertisement repetition in the marketing literature” (Rublic, p12, 2023). Public pointed out in the research results that the effectiveness curve of multi-influencer marketing is U-shaped. This shows that at the beginning, the more influencer marketing a consumer is exposed to, the higher the consumer’s purchase intention is directly proportional to the amount of influencer marketing. However, when this number reaches 27 times, the effectiveness of multi-influencer marketing slows down the growth until it stops growing. In this process, consumers may become tired of multi-influencer marketing, causing side effects of multi-influencer marketing. Although we find a side effect of multi-influencer marketing, the period research still supports that multi-influencer marketing can positively change purchasing behavior.

Therefore, based on the period literature, we argue that hypothesis three: Consumers exposed to influencer marketing across multiple channels will exhibit a higher likelihood of making a purchase compared to those exposed to a single channel.

Research Methodology

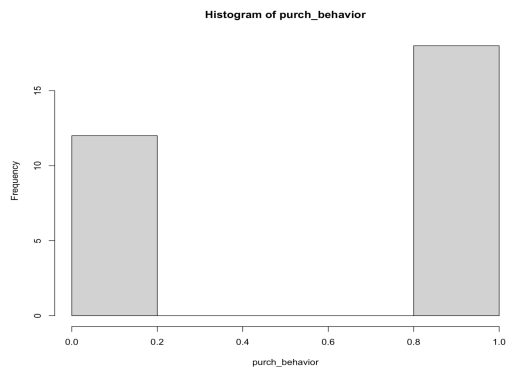
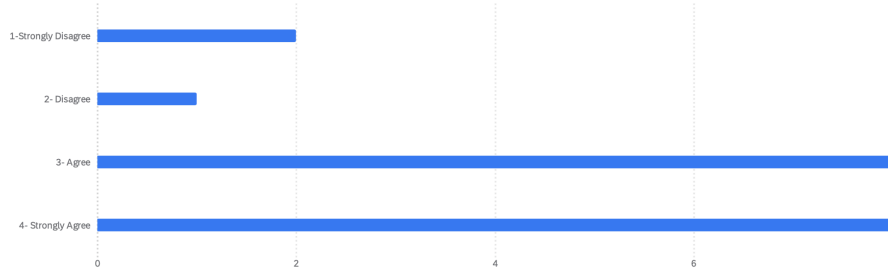
In this study, we aim to understand the impact of influencer-generated content on consumer purchasing behavior by using surveys as our primary research method. Surveys are particularly suitable for this type of research because they allow us to gather information from a large and diverse group of participants, providing valuable insights into their behaviors and perceptions. By employing surveys, we can efficiently collect data from a broad audience, ensuring that our findings are both comprehensive and representative. Our study focuses on teens and young adults aged 16-25 years old. This age group is especially relevant because they are prolific users of social media and are thus more likely to be influenced by social media influencers. We will begin by asking participants about their age and frequency of social media use, selecting only those who use social media regularly to ensure our sample is representative of active social media users. To collect the necessary data, we will utilize both surveys and observational methods. The surveys will be administered through Qualtrics, a robust online survey platform that allows for the creation of structured and detailed questionnaires. These surveys will include questions about participants' social media usage, their engagement with social media influencers, and their purchasing behaviors. For example, we will ask how many hours per day they spend on social media, how often they interact with influencer content through likes, shares, and comments, and if they have made any recent purchases influenced by social media influencers. Observational methods will be used to complement the survey data, providing additional context and helping to validate our findings. By observing participants' interactions with social media and influencer content, we can gain a deeper understanding of their behaviors and the potential impact of these interactions on their purchasing decisions. To quantify social media usage, we will measure the number of hours participants spend on

social media each day. Engagement with influencers will be assessed by tracking likes, shares, and comments on influencer posts. For purchasing behavior, we will ask participants to report any recent purchases that were influenced by social media influencers, providing specific examples where possible. Data analysis will involve both quantitative and qualitative methods. Regression analysis will be used to examine the relationship between purchasing behavior (the dependent variable) and social media use and influencer engagement (the independent variable). This statistical method will allow us to determine the strength and nature of these relationships, helping to identify key factors that drive influencer-influenced purchasing behavior. In addition to regression analysis, we will conduct content analysis on open-ended survey responses. This qualitative method will help us identify common themes and patterns in participants' descriptions of their interactions with influencers and their impact on their purchasing decisions. By combining these two analytical approaches, we can gain a more comprehensive understanding of how influencer-generated content affects consumer behavior. Overall, this study will provide valuable insights into the role of social media influencers in shaping consumer purchasing behavior among teens and young adults. By employing a combination of surveys and observations, and using both quantitative and qualitative data analysis methods, we aim to build a detailed and nuanced picture of the influence of social media content on consumer decisions. This research could have significant implications for marketers and businesses looking to leverage social media influencers to drive sales and engagement with their brands.

Data Analysis and Findings

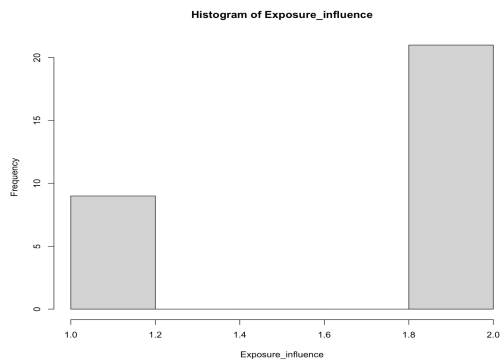
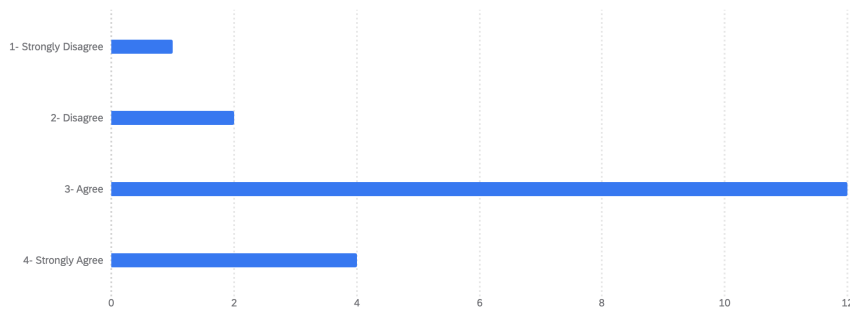
Our ordinal DV contains data with rankings on a scale of 1-4, so we converted our ordinal DV into binomial DV. This changes our research results into representing two variables; agree or disagree for our participants. By doing this, we were able to use logistic regression analysis for our DV. The choice of demography that we decided to go with was age, and the average ages of our participants ranged from 18-24 years of age.

On a scale of 1 to 4, how strongly do you think influencer-generated content affects consumer purchasing behavior? 19 ⓘ



For our set A questions, we created four total questions; one DV in the form of purchasing behavior and three IVs in the form of exposure influence, exposure to multiple channels, and demography. These four questions include a graph showing the number of respondents that strongly agree, agree, disagree, or strongly disagree with the hypothesis statement. They also each contain a histogram displaying the frequency of people that agreed or disagreed with the correlating question, left being disagree and right being agree. The DV is the hypothesis in the form of a question that asks if influencer-generated content affects consumer purchasing behavior. Based on our results, 84% of respondents agree, and 16% of respondents disagree with our hypothesis statement. Its histogram shows a frequency of 12 for disagreement and a frequency of 18 for agreement with the question.

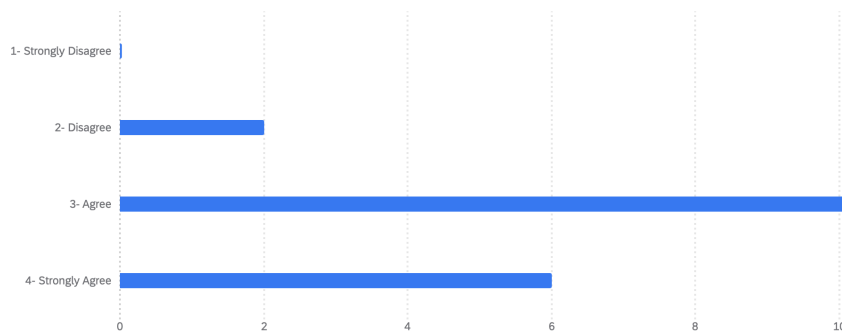
On a scale of 1 to 4, what is the significance of exposure to influencer marketing campaigns in influencing consumers' likeli... 19 ⓘ

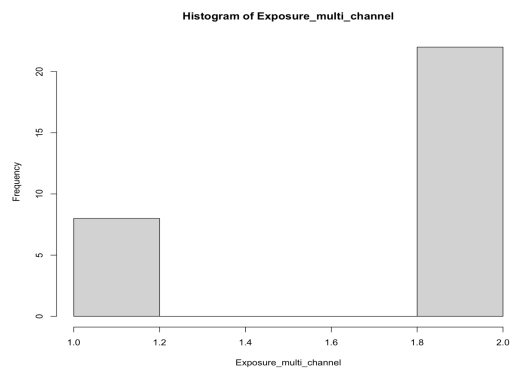


The IV of the second question is Exposure_Influence, and it asks how significant exposure to influencer marketing campaigns was in influencing consumers' likelihood to purchase the advertised products. 84% of respondents agree and 16% of respondents disagree with our question. Its histogram shows a frequency of 9 for disagreement and a frequency of 21 for agreement with the question.

On a scale of 1-4, how important it is for influencers to use multiple channels to influence a purchase? 19 ⓘ

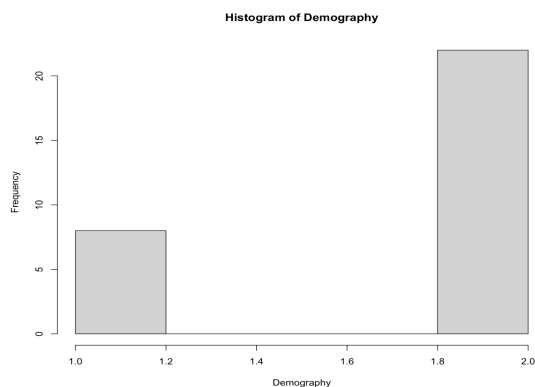
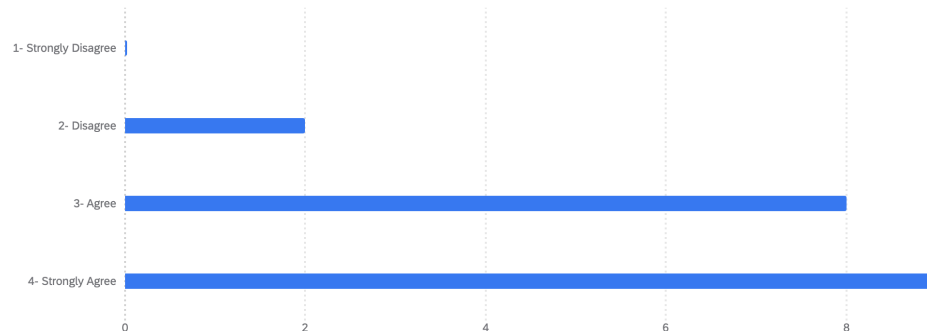
...





The IV of the third question is Exposure_Multi_Channels, and it asks how strongly people feel about the importance of influencers using multiple channels when influencing a purchase. 90% of respondents agree, and 10% of respondents disagree with our question. Its histogram shows a frequency of 8 for disagreement and a frequency of 22 for agreement with the question.

On a scale of 1-4, please indicate how you would rate influencer marketing as having a stronger influence on purchasing be... 19 ⓘ



The IV of the fourth question is Demography, and it asks how strongly people feel that influencer marketing has a big influence on purchasing behavior among younger demographics. 89% of respondents agree, and 11% of respondents disagree with our question. Its histogram shows a frequency of 8 for disagreement and a frequency of 22 for agreement with the question.



For our set B questions, we calculated how many respondents agreed with our hypothesis by making our questions in the form of open-ended questions with a scale of 1-10, with 1-4 being disagreed, 5 being neutral, and 6-10 agreeing. Relating to demographics, 84% of respondents agreed with our statement "Influencer marketing will have a stronger influence on purchasing behavior among younger

demographics compared to older demographics”. Relating to exposure influence, 89% of respondents agreed with our statement “Consumers exposed to influencer marketing campaigns will show a higher likelihood of purchasing the promoted products compared to those not exposed”. Relating to exposure to multiple channels, 84% of respondents agreed with our statement “Consumers exposed to influencer marketing across multiple channels will exhibit a higher likelihood of making a purchase compared to those exposed to a single channel.”

```
Call:
glm(formula = purch_behavior ~ Exposure_influence + Exposure_multi_channel +
     Demography, family = binomial, data = groupwork)
```

Coefficients:

	Estimate	Std. Error	z value	Pr(> z)
(Intercept)	-11.619	4.176	-2.782	0.0054 **
Exposure_influence	2.113	1.216	1.738	0.0823 .
Exposure_multi_channel	2.790	1.388	2.010	0.0445 *
Demography	2.054	1.403	1.465	0.1430

Signif. codes: 0 ‘***’ 0.001 ‘**’ 0.01 ‘*’ 0.05 ‘.’ 0.1 ‘ ’ 1

(Dispersion parameter for binomial family taken to be 1)

Null deviance: 40.381 on 29 degrees of freedom
 Residual deviance: 21.379 on 26 degrees of freedom
 AIC: 29.379

Number of Fisher Scoring iterations: 5

When Exposure_Influence, Exposure_Multi_Channels, and Demography are all at zero, the expected log odds of purchasing behavior is -11.6 units. Holding other variables constant, a one-unit increase in exposure influence is associated with an approximate increase of 2.113 in the log odds of purchasing behavior. Similarly, a one-unit increase in Exposure_multi_channel is associated with an approximate increase of 2.790 in the log odds of purchasing behavior, while a one-unit increase in Demography is linked to an increase of approximately 2.054 in the log odds of purchasing behavior.

In statistical hypothesis testing, the p-value serves as a measure of the evidence against the null hypothesis. For relationships to be considered statistically significant, p-values typically need to be less than 0.05. In our analysis, the p-value for Exposure_influence is 0.0823 (greater than 0.05), and for

Demography, it is 0.1430 (also greater than 0.05). Therefore, we cannot reject the null hypothesis, indicating no significant correlation between purchasing behavior and exposure influence or demography. However, the p-value for Exposure_multi_channel is 0.0445, which is less than 0.05, suggesting a statistically significant relationship between purchasing behavior and exposure to multiple channels. Consequently, we reject the null hypothesis for this relationship, indicating a significant correlation between exposure to multiple channels and purchasing behavior. Our data tells us that purchasing behavior has a correlation with exposure to multiple channels, but not with exposure influence or demography.

General Discussions

The total size of the study sample in this research was 30 participants. Due to funding limitations and time constraints, the number of research samples is too small, so the study results cannot fully represent the diversity of the population. Also, due to a lack of timeframe, the ability to delve deeply into certain variables has been limited. This study used a Qualtrics survey to collect self-reported data from participants. Self-reported data may have a particular response bias, which may lead to bias in the accuracy of the results. Because the participants in the study sample shared the exact geographic location and educational level—college students at San Jose State University—the generalizability of the results is limited to the specific population. This also affects the demography data interpretations since we could not conduct research with people of different ages and locations. A recommendation for businesses based on our research would be to use multiple channels when producing influencer-generated content. This includes using social media, podcasts, newspapers, and videos in order to increase the chances that consumers see their content and purchase their products or services. Another recommendation for businesses would be to have variability in their marketing campaigns and to not put complete focus on influencer-generated content, since exposure influence does not have a strong correlation to purchasing behavior. Since we were able to state that exposure to multiple channels has a significant relationship to

purchasing behavior, future research can be conducted analyzing which channels are most effective for influencers to reach out to consumers. We concluded from our research that demography does not have a significant correlation to purchasing behavior. Since our sample size was so small, future research should be conducted in order to determine whether or not other parts of demography have an impact on purchasing behavior. This includes considering education, nationality, ethnicity, religion, and a wider age range for participants.

Limitations

The total size of the study sample in this research was 30 participants. Due to funding limitations and time constraints, the number of research samples is too small, so the study results cannot fully represent the diversity of the population. Also, due to a lack of timeframe, the ability to delve deeply into certain variables has been limited. This study used a Qualtrics survey to collect self-reported data from participants. Self-reported data may have a particular response bias, which may lead to bias in the accuracy of the results. Because the participants in the study sample shared the exact geographic location and educational level—college students at San Jose State University—the generalizability of the results is limited to the specific population. This also affects the demography data interpretations since we could not conduct research with people of different ages and locations.

Recommendations and Future Research

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Concluding Paragraph

In conclusion, this research has shed new light on how people feel about influencer-generated content and if it affects the purchasing behavior of consumers, for example, whether it increases or not. The results of this survey showed that most people do believe that content created by influencers does affect what consumers buy, especially in younger demographics who rely heavily on social media. This can show that some influencer marketing is a good thing, and is effective at its goal. The results also showed that when influencers use multiple channels to advertise, they better influence consumers to make a purchase, so multiple channels is important for influencers, and the more prominent exposure can further increase revenue/clicks. However, asking if people would actually buy a product based on influencer-generated content was more mixed, so the increase in expanding influencer marketing may not always work out for those involved, and it could just depend on some factors, like age, demographic, industry, etc.

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